

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-05

RAHAL INTERNATIONAL, INC.,
Complainant,

v.

HAPAG-LLOYD AG and
HAPAG-LLOYD (AMERICA) LLC,
Respondents—Third-Party Complainants,

v.

MAHER TERMINALS LLC,
GCT NEW YORK LP, and
GCT BAYONNE LP,
Third-Party Respondents.

**JOINT STATUS REPORT AND JOINT MOTION
TO REVISE THE SCHEDULING ORDER**

Complainant Rahal International, Inc. (“Rahal”), Respondents—Third-Party Complainants Hapag-Lloyd AG and Hapag-Lloyd (America), LLC (collectively, “Hapag”), and Third-Party Respondents Maher Terminals LLC (“Maher”), and GCT New York LP and GCT Bayonne LP (collectively “GCT”)¹ hereby submit this Joint Status Report and Joint Motion to Revise the Scheduling Order, in accordance with the Order on Third-Party Respondents’ Motion to Dismiss, dated December 6, 2023 (the “Second Order on Third-Party Respondents’ Motion to Dismiss”).

On December 12, 2023, counsel for the parties met remotely to discuss the process

¹ Effective on or about August 31, 2023, GCT New York LP and GCT Bayonne LP underwent conversions to limited liability companies and ultimately changed their names to Port Liberty New York LLC and Port Liberty Bayonne LLC, respectively.

for discovery in light of the Second Order on Third-Party Respondents' Motion to Dismiss. Complainant Rahal and Respondents Hapag have substantially completed discovery with respect to the production of documents. Complainant Rahal and Respondents Hapag have also agreed upon a confidentiality agreement, which is now under consideration by the Third-Party Respondents. As reported in the prior Joint Status Reports, the parties have not yet conducted depositions because doing so without the participation of all Third-Party Respondents, but with their possible future involvement, would have resulted in significant inefficiencies, including the potential for multiple and duplicative depositions of witnesses.

The parties agree that a global procedural schedule is appropriate for the completion of discovery and development of a full record. The parties further agree, and respectfully submit, that good cause is shown to adjust the operative deadlines set forth in the Scheduling Order, dated August 21, 2023 (the "Initial Scheduling Order"), because Hapag's Third-Party Complaint necessitates additional discovery and the involvement of all parties in such discovery is contemplated. The Initial Scheduling Order provided that initial discovery requests shall be served by September 5, 2023. On September 6, 2023, Third-Party Complainants' Motion for Leave to File a Third-Party Complaint was granted. The Third-Party Respondents were not required to answer or provide initial disclosures until well after that date, and while the parties disagreed on the scope and timing for discovery as to the Third-Party Respondents prior to their answering the Third-Party Complaint, Third-Party Complainants and Third-Party Respondents would necessarily have been unable to serve initial discovery requests within the timeframes in the Initial Scheduling Order. After conferring with counsel on December 12, 2023, the parties agree that no party will be prejudiced by serving discovery in accordance with the following

proposed schedule.

Therefore, the parties respectfully move that the presiding officer issue an order establishing the following schedule.

1. PROPOSED PROCEDURAL SCHEDULE

(a) Third-Party Complainants and Third-Party Respondents' initial discovery requests, including requests for production of documents, requests for admissions, and interrogatories, shall be served by **January 12, 2024**. The service of initial discovery requests does not foreclose a party from timely serving additional or supplemental discovery requests irrespective of whether the party filed an initial request of the same nature.

(b) Third-Party Complainants and Third-Party Respondents' responses to initial discovery requests shall be served by **February 12, 2024**.

(c) Depositions of factual witnesses and experts for whom a written report is not required shall be completed by **March 29, 2024**.

(d) Each party's expert report(s) addressing any issue(s) upon which the party bears the burden of proof shall be served by **April 5, 2024**.

(e) Expert rebuttal reports shall be served by **April 19, 2024**.

(f) All factual and expert discovery shall be completed by **April 30, 2024**.

2. BRIEFING SCHEDULE

The parties have discussed, but not yet agreed upon a proposed schedule for post-discovery briefing, and provide alternative proposals in separate sections below that reflect the positions of the counsel or parties identified only:

Counsel for Complainant:

May 31, 2024	Complainant and Third-Party Complainant (as to its affirmative claims) shall file their respective Brief, Proposed Findings of Fact, and Appendix
June 28, 2024	Respondent and Third-Party Respondent's Opposition Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact and Appendix
July 15, 2024	Complainant and Third-Party Complainant (as to its affirmative claims) shall file their respective Reply Brief and Responses to Proposed Findings of Fact

Complainant Rahal has proposed a schedule in keeping with the initial Scheduling Order (Aug. 21, 2023, FMC Doc. 15). That Order directed three rounds of briefing with Rahal filing first as the Complainant with affirmative claims, Hapag as the Respondent filing its opposition approximately thirty days later, and Rahal's reply due two weeks thereafter. The mere fact that Hapag now has also asserted its own affirmative claims against the Third-Party Respondents (the "Terminals") does not warrant a multilayered, drawn out schedule that will delay a resolution and that provides an unfair advantage to Hapag and the Terminals.

First, Hapag has asserted independent claims against the Terminals—not merely an indemnity claim—that they violated the Shipping Act. Hapag made its position clear in its Response to the Third-Party Respondents' Motion to Dismiss (Oct. 18, 2023, FMC No. 43 at p.8-11). Hapag's affirmative claims include that the Terminals "had absolute control over the Complainant's ability to access the containers and control over the billing and collection against the Complainant." *Id.* Thus, Hapag can and should proceed with its affirmative claims without having to "first see Complainant's initial briefing" as claimed.

Second, and more problematic with Hapag and the Terminals’ proposed schedule—but unsurprising—is that they create for themselves multiple bites at the proverbial apple. If Hapag and the Terminals are correct that they must “wait-and-see” Rahal’s initial briefing, then it is clear that their proposed schedule provides for proxy arguments against Rahal. First, Hapag affords itself the right to oppose Rahal’s claims. Next, the Terminals afford themselves the right to oppose Rahal’s claims under the guise that Hapag has relied upon Rahal’s claims to assert liability against the Terminals. Indeed, Hapag and the Terminals reserve unto themselves the final replies (which are tantamount to sur-replies). Under their schedule, *only after Rahal has entirely finished its briefing*, would the Terminals file an opposition *and only after that* would Hapag file a reply.

Under Rahal’s proposed schedule, Hapag has ample opportunity to oppose Rahal’s claims and the Terminals have ample opportunity to oppose Hapag’s claims, whether those claims are independent of Rahal or because Hapag has *chosen* to affirmatively assert them against the Terminals. Rahal’s proposed schedule is fair and expeditious.

Counsel for Third-Party Complaint, joined by counsel for all Third-Party Respondents:

May 31, 2024	Complainant’s Brief, Proposed Findings of Fact, and Appendix
June 28, 2024	Respondent’s Opposition Brief to Complainant’s Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact and Appendix
June 28, 2024	Third-Party Complainant’s Brief, Proposed Findings of Fact, and Appendix
July 12, 2024	Complainant’s Reply Brief to Respondent’s Opposition and Responses to Proposed Findings of Fact
July 29, 2024	Third-Party Respondents’ Opposition Brief to Third-Party

Complainant's Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact and Appendices

August 12, 2024 Third-Party Complainant's Reply Brief to Third-Party Respondents' Oppositions, and Responses to Proposed Findings of Fact

Counsel for Third-Party Complainant, and for all Third-Party Respondents, propose this schedule because it is the Third-Party Complainant's position that the nature of the Third-Party Complainant's action logically necessitates first seeing Complainant's initial briefing against it before being in an informed position to submit its opening briefing against the Third-Party Respondents which is premised on the allegations that would be made by Complainant. The remaining staggered schedule provides fair notice of potentially related arguments and issues and would facilitate more complete briefing, while only adding thirty (30) days to the overall schedule. Complainant's proposed schedule would require the Third-Party Complainant to file its opening brief without notice of the issues the Complainant intends to raise against it, and the proposal for identical briefing dates for both complaints would more likely result in gaps in potentially common issues and arguments that would be mitigated with the proposed staggered schedule. Counsel for Third-Party Complainant and Third-Party Respondents disagree with Complainant's assertions that a staggered briefing schedule would be prejudicial and result in "multiple bites at the proverbial apple." The schedule expressly contemplates the parties responding to their respective briefs and does not give rise to surreptitious sur-replies. The parties and presiding officer are sophisticated enough to recognize and flag an inappropriate sur-replies. Further, the benefit of a more complete and useful briefing schedule outweighs the Complainant's unfounded concerns.

Dated: December 13, 2023

Respectfully submitted,

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